SOVEREIGN DEBT ISSUANCE AND TRADING

Learning Outcome

- contrast the issuance and trading of government and corporate fixed-income instruments

In contrast to the opportunistic nature of corporate debt issuance managed by investment bank underwriters on behalf of issuers, issuance of sovereign debt usually takes the form of a public auction led by the national Treasury or finance ministry.

Once a government debt auction is announced, prospective investors submit competitive or non-competitive bids. A competitive bidder specifies an acceptable price and number of securities to be purchased. If the price determined at auction is above the bid, a competitive bidder will not be offered any securities. In contrast, a non-competitive bidder agrees to accept the price determined at auction and always receives securities.

A competitive bid process is either a **single-price auction** or **multiple-price auction**. In both cases, the issuer ranks bids by prices, choosing bids from highest to lowest until the desired issuance amount is reached. Under a single-price auction, *all* winning bidders pay the same price and receive the same coupon rate for the bonds regardless of their bid. In contrast, a multiple-price auction process generates different prices among bidders for the same bond issue. The single-price auction process may result in a lower cost of funds and broader distribution among investors, while multiple-price auctions may result in a narrower distribution of large bids because investors must accept bonds at their bid price.

A single-price auction process has four phases:

1. The auction is announced by the government debt management office, which includes information about the bond issue, such as the amount and type of securities being offered, the auction and issue dates, the maturity date of the bonds, and bidding times.
2. Dealers, institutional investors, and individuals make bids. Bids can be competitive or non-competitive.
3. All non-competitive bids are accepted while competitive bids are ranked starting at the lowest yield (highest bond price). The highest yield that fills the offering amount, counting from the bottom, is the “cut off.” All securities are sold for a single price, using this stop yield. Competitive bidders who bid higher than this yield (lower price) do not purchase any securities. Results are announced publicly, as shown in Exhibit 2.
4. Securities are delivered to the non-competitive and winning competitive bidders in exchange for proceeds.

Exhibit 2:

30-Year Singapore Government Bond Auction Announcement and Results

On 8 September 2021, the Monetary Authority of Singapore announced an auction of SGD2.6 billion of 30-year Singapore government bonds.

The Monetary Authority of Singapore
21 September 2021
Application for Taxable Book-Entry Singapore Government Bonds

Tenor:	Approximately 30 Years

Application for Taxable Book-Entry Singapore Government Bonds	
Total Amount Offered:	SGD2,600,000,000
Issue/Settlement Date:	1 October 2021
Maturity Date Amount:	1 October 2051
Coupon Rate:	To be determined based on the cut-off yield of successful applications
Yield and Price:	To be determined at the auction
Coupon Payment Dates:	1 October and 1 April
Method of Sale:	Uniform-price auction
Bids must be submitted through primary dealers.	

The results were announced shortly after the auction on 28 September 2021.

The Monetary Authority of Singapore 28 September 2021 Results of Auction of Taxable Book-Entry Singapore Government Bonds to Be Issued 1 October 2021	
Tenor:	Approximately 30 years
Total amount allotted:	SGD2,600,000,000
Amount allotted to non-competitive bids:	SGD207,355,000
Total amount of bids:	SGD4,105,487,000
Coupon rate:	1.875% p.a.
Cut-off yield and price:	1.95% p.a. and 98.303
Median yield and price:	1.89% p.a. and 99.658
Average yield and price:	1.84% p.a. and 100.804
Total amount of bids:	SGD4,105,487,000

The yield-to-maturity and price determined at this auction (the "Cut-off yield and price") was 1.95% and 98.303% of par. The Monetary Authority of Singapore's auction rules states that the bond coupon rate will be the cut-off yield rounded down to the nearest 0.125%, or 1.875%. This auction attracted bids totaling SGD4.1 billion, over 1.5× the offer amount.

Government of India Switches from Multiple-Price to Single-Price Debt Auctions

In July 2021, the central bank of India (Reserve Bank of India) moved from multiple- to single-price auctions for its 2-year, 3-year, 5-year, 10-year, 14-year, and floating-rate bonds. The 30-year and 40-year bonds continued to be auctioned via the multiple-price method. The Reserve Bank of India changed the methodology it uses for government bond issuance after it faced several partially failed auctions. Under the single-price auction, volatility in yields is reduced because all successful bidders receive the same rate.

Sources: BQ Prime, "RBI Tweaks Government Bond Auction Strategy amid Falling Sales" (2 July 2021). www.bloombergquint.com/business/rbi-tweaks-government-bond-auction-strategy-amid-falling-sales. Subhadip Sircar, Suvashree Ghosh, and Ronojoy Mazumdar, "RBI Proposes Framework for Acceptable Bids at Auctions to Underwriters," Bloomberg (2 July 2021). www.bloomberg.com/news/articles/2021-07-02/rbi-said-to-propose-acceptable-bids-at-auctions-to-underwriters.

Sovereign issuers also engage with financial intermediaries, such as corporate debt issuers, but in a different form. Sovereign governments designate a group of financial intermediaries as **primary dealers** that are required to participate in all auctions with competitive prices, often serve as the central bank's counterparty for open market operations and facilitate the purchase and sale of government debt by foreign central banks and other indirect bidders. Investors may also participate directly in auctions—for example, through the UK Debt Management Office or TreasuryDirect in the United States.

although in some markets, such as Australia, they are traded on an exchange. In each market, the sovereign issuer is often the largest borrower and their securities are the most liquid among fixed-income instruments. The most recently issued sovereign debt securities, known as **on-the-run securities**, are used for benchmark yield analyses because they are more liquid than previously issued **off-the-run securities**, which trade infrequently. Given their liquidity, some trading of on-the-run securities occurs electronically, on centralized marketplaces operated by private companies.

A significant difference in trading between sovereign and corporate debt is the presence of investors in sovereign debt with varying "non-economic" objectives. For example, major investors in US Treasuries include the Federal Reserve, which uses Treasuries in the conduct of monetary policy; major foreign governments, which hold the securities as US dollar reserves; state and local governments, which face restrictions on holding other types of securities; and banks and insurance companies that either must hold Treasuries or are incentivized to do so to meet regulatory requirements. These factors reduce sovereign borrowing costs versus the private sector and are most pronounced for sovereign issuers with a **reserve currency**, a currency held by global central banks in significant quantities and widely used to conduct international trade and financial transactions. In addition to the US dollar, the euro, Japanese yen, British pound, Swiss franc, Australian dollar, and Chinese renminbi are reserve currencies. However, the US dollar accounts for 60% of global foreign exchange reserves and about half of international trade, international loans, and global debt securities and is involved in nearly 90% of all FX market transaction.[1]

Question Set

1. An advantage of a single-price auction versus a multiple-price auction is that a single-price auction may result in a:

A. lower cost of funds and broader distribution among investors.
B. narrower distribution of large bids because investors must accept bonds at their bid prices.
C. ranking of bids by prices, where bids from highest to lowest are chosen until the desired issuance amount is reached.

Hide Solution

Solution:

A is correct. The single-price auction process may result in a lower cost of funds and broader distribution among investors. B is incorrect because multiple-price auctions may result in a narrower distribution of large bids because investors must accept bonds at their bid price. C is incorrect because in both cases, the issuer ranks bids by prices, choosing bids from highest to lowest until the desired issuance amount is reached.

2. Discuss how the type of auction (single price or multiple price) can impact the success of auctions and yield volatility.

Hide Solution

Solution:

A multiple-price auction process generates different prices among bidders for the same bond issue. Under a single-price auction, volatility in yields is reduced because all successful bidders receive the same rate. The Reserve Bank of India changed the methodology it uses (from multiple price to single price) for government bond issuance after it faced a number of partially failed auctions.

3. A significant difference in trading between sovereign and corporate debt is:

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B. the opportunistic nature of sovereign debt issuance managed by investment bank underwriters on behalf of issuers.

C. that sovereign debt is usually traded on an exchange while private sector debt primarily trades on OTC markets mediated by broker/dealers.

Hide Solution

Solution:

A is correct. A significant difference in trading between sovereign and corporate debt is the presence of investors in sovereign debt with varying “non-economic” objectives. For example, major investors in US Treasuries include the Federal Reserve, which uses Treasuries in the conduct of monetary policy; major foreign governments, which hold the securities as US dollar reserves; state and local governments, which face restrictions on holding other types of securities; and banks and insurance companies that either must hold Treasuries or are incentivized to do so to meet regulatory requirements. B is incorrect because in contrast to the opportunistic nature of *corporate debt issuance* managed by investment bank underwriters on behalf of issuers, sovereign auctions use standard procedures to ensure broad distribution among investors under a transparent price discovery process. C is incorrect because once issued, sovereign debt is usually traded in a manner similar to that of private sector debt securities: primarily on OTC markets mediated by broker/dealers, although in some markets, such as Australia, they are traded on an exchange.

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